QP CODE: _____

Reg No:.....

Name:.....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

FIFTH SEMESTER MGU-UGP (HONOURS) REGULAR

UNIVERSITY MODEL QUESTION PAPER

FINANCIAL REGULATION AND SUPERVISION

MG5DSEECO301

(2024 ADMISSION ONWARDS)

Duration: 2 Hours

Maximum Marks: 70

Learning Domains: Remember (K), Understand (U), Apply (A), Analyse (An), Evaluate (E)

CO tags are based on the 14-May-2026 amended syllabus; Bloom taxonomy reflects the cognitive demand of each question.

SECTION A

MULTIPLE CHOICE QUESTIONS

Answer all questions. Each question carries 1 mark.

1. The main objective of financial regulation is to: *[CO1 | K]*
   A. Maximise bank profits
   B. Maintain financial stability and protect stakeholders
   C. Increase government revenue
   D. Promote foreign trade
2. Which scenario best illustrates moral hazard? *[CO2 | A]*
   A. A bank adopts stricter lending standards
   B. A bank takes excessive risks expecting government support
   C. An investor diversifies investments
   D. A regulator conducts inspections
3. What risk is heightened by interconnectedness among financial institutions? *[CO2 | U]*
   A. Agricultural production
   B. Systemic risk
   C. Population growth
   D. Industrial licensing
4. What is the full form of CRAR? *[CO2 | K]*
   A. Capital to Risk-weighted Assets Ratio
   B. Credit Risk Assessment Ratio
   C. Cash Reserve Adequacy Ratio
   D. Capital Reserve Adjustment Ratio
5. A loan is generally classified as a Non-Performing Asset when the relevant payment remains overdue for: *[CO3 | K]*
   A. 30 days

B. 60 days
C. 90 days
D. 180 days

6. Basel III mainly focuses on: *[CO5 | U]*
   A. Corporate taxation
   B. Capital adequacy, liquidity and risk management
   C. Agricultural finance
   D. International trade
7. What is the primary use of the CAMELS framework? *[CO5 | U]*
   A. Assess the financial health of banks
   B. Calculate inflation
   C. Determine tax liability
   D. Regulate stock exchanges
8. Scale-Based Regulation (SBR) is primarily associated with the regulation of: *[CO3 | U]*
   A. Insurance companies
   B. NBFCs
   C. Mutual funds
   D. Pension funds
9. Which of the following best illustrates a FinTech innovation? *[CO2 | A]*
   A. A UPI-based payment application
   B. A railway reservation system
   C. A GST collection office
   D. A passport service centre
10. External benchmark-based lending rates link lending rates to: *[CO4 | U]*
    A. An external benchmark such as a policy rate
    B. Bank advertising
    C. Corporate profits
    D. Export prices

(10 × 1 = 10)

SECTION B

SHORT ANSWER QUESTIONS

Answer any TEN questions. Each question carries 3 marks. (Answer in about 50 words.)

11. Define financial stability. *[CO1 | U]*
12. Why are financial regulation and supervision necessary in the financial system? *[CO1 | U]*
13. Why do different financial institutions require different regulatory frameworks? *[CO2 | U]*
14. What is the Too-Big-To-Fail (TBTF) problem? *[CO2 | U]*
15. Explain the role of the Reserve Bank of India in banking-sector regulation. *[CO2 | U]*
16. Distinguish between CRR and SLR. *[CO2 | An]*
17. What is a Non-Performing Asset (NPA)? *[CO3 | K]*
18. What is Risk-Based Supervision (RBS)? *[CO5 | U]*

19. Why is regulation of NBFCs important for the financial system? *[CO3 | U]*

20. What is meant by regulatory convergence between banks and NBFCs? *[CO3 | U]*

21. Analyse two major regulatory issues associated with FinTech and crypto assets. *[CO2 | An]*

22. What is the Insolvency and Bankruptcy Code (IBC) and why was it introduced? *[CO2 | U]*

23. Distinguish between MCLR and external benchmark-based lending rates. *[CO4 | An]*

(10 × 3 = 30)

SECTION C

SHORT ESSAY QUESTIONS

Answer any FIVE questions. Each question carries 6 marks. (Answer in about 160 words.)

24. Analyse the need for financial regulation and supervision and their role in maintaining financial stability. *[CO1 | An]*

25. Analyse how moral hazard, TBTF and macroprudential regulation are related to financial stability. *[CO2 | An]*

26. Analyse how CRR, SLR and CRAR contribute to the safety and stability of Scheduled Commercial Banks. *[CO2 | An]*

27. Analyse how NPA classification, provisioning norms and risk weights help strengthen banking-sector regulation. *[CO3 | An]*

28. Evaluate the major regulatory measures governing NBFCs with special reference to LTV norms and Scale-Based Regulation. *[CO3 | E]*

29. Evaluate the role of SEBI in regulating the Indian capital market with reference to primary and secondary markets and IPOs. *[CO2 | E]*

30. Analyse the evolution of interest-rate regulation from PLR and BPLR to Base Rate, MCLR and external benchmark-based lending rates. *[CO4 | An]*

(5 × 6 = 30)